

TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Open any chart (stock, indices, etc).

Set the chart to a 1-minute timeframe.

Add VWAP and RSI indicators to the chart.

Look for the RSI to go in the oversold zone and the price to take support at the VWAP.

BUY when both indicators give a buy signal.

STOPLOSS should be below the VWAP.

TARGET should be at the upper band of the VWAP or trail it for maximum gains.

It is evident from the chart that on 2nd May 2023, the price took support on the VWAP and at the same time, the RSI was in the oversold zone. With multiple confirmations, we got a buy signal and took the trade, with a stoploss below the VWAP and a target above the upper band of the VWAP. Following this strategy, we got a Risk to Reward ratio of 1:2.